



Food and Nutrition Service

U.S. DEPARTMENT OF AGRICULTURE

DATE: May 21, 2026

SUBJECT: Supplemental Nutrition Assistance Program Provisions of the Big Beautiful Bill Act of 2025, Section 10106 Administrative Cost Sharing: Questions and Answers

TO: All SNAP State Agencies
All Regions

On July 4, 2025, President Donald J. Trump signed Public Law 119-21, the One Big Beautiful Bill Act of 2025 (OB BB). Section 10106 of OB BB amends Section 16(a) of the Food and Nutrition Act of 2008 (the Act), by reducing the Federal share of administrative costs involved in the State administration of the Supplemental Nutrition Assistance Program (SNAP), to 25 percent from 50 percent, beginning in fiscal year 2027.

The Food and Nutrition Service (FNS) is releasing this memorandum in response to questions received on SNAP administrative cost sharing. SNAP is working on regulatory changes that will codify final policy decisions on the implementation of Section 10106 of OB BB. State agencies should contact their respective FNS Regional Offices with questions or requests for technical assistance.

Sincerely,

**RONALD
WARD**

Digitally signed by
RONALD WARD
Date: 2026.05.21
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Ronald Ward
Acting Associate Administrator
Supplemental Nutrition Assistance Program
Food and Nutrition Service

Attachment

Food and Nutrition Service, Braddock Metro Center, 1320 Braddock Place, Alexandria, VA 22314

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Questions Regarding the One Big Beautiful Bill Act of 2025

Section 10106, Administrative Cost Sharing

- 1. The [information memorandum issued on September 4, 2025](#), indicates the provision amends and reduces the amount USDA “may pay” for administrative operation costs of SNAP to 25 percent. Does this mean the USDA cost sharing amount may remain at 50 percent?**

No. Beginning in fiscal year 2027, the Federal share of SNAP administrative costs will be reduced from 50 percent to 25 percent, following requirements in OBBB.

- 2. Does Section 10106 of OBBB impact SNAP activities on Tribal reservations?**

No. In accordance with Section 16(a) of the Act and 7 CFR [281.9](#), FNS may pay each agency of State government and Indian Tribal Organization acting as a State agency administering SNAP on a reservation 75 percent of all approved administrative costs.

- 3. Does Section 10106 of OBBB impact the SNAP Employment and Training (E&T) administrative cost share?**

No, Section 10106 of OBBB does not impact SNAP E&T funding. In accordance with Section 16(h) of the Act, which was not amended by OBBB, USDA will continue to pay or reimburse State agencies an amount equal to 50 percent for E&T administrative costs.

- 4. Is the change to the administrative cost reimbursement rate made by Section 10106 of OBBB waivable?**

No, the Act does not allow for the administrative cost reimbursement rate to be waived.

- 5. Does the new administrative cost share provision impact recently approved Advanced Planning Document Updates (APD(U)s)?**

Yes, APD(U)s will be impacted by the change in the SNAP reimbursement rate from 50 percent to 25 percent. State agencies may continue following their already approved APD(U) plans, with necessary adjustments to reflect the new 25 percent Federal reimbursement rates starting in fiscal year 2027. Applicable APD(U)s must be submitted to FNS for review and/or approval at least 90 days prior to the start of the 2027 fiscal year.

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6. Will SNAP outreach be impacted by the reduction in Federal administrative cost share?

Yes, Federal reimbursement for outreach will be reduced to 25 percent, as those costs are also authorized under Section 16(a) of the Act.

7. Would the reimbursement amount for the SNAP outreach Federal fund match be considered State funds? Is this considered non-federal funds that can be reinvested back into SNAP outreach?

Section 10106 of OBBB has made no changes to how State agencies treat reimbursements. The reimbursement to the State agency transfers ownership of the funds from the Federal government to the State. The State agency can choose to reinvest those funds back into SNAP outreach.

8. Is SUN Bucks (Summer EBT) impacted by Section 10106 of OBBB?

No, Section 10106 of OBBB does not apply to Summer EBT. Summer EBT is separately authorized and has a separate funding authority from SNAP.